

CHAPTER 4

Audit of the Acquisition and Payment Cycle

Chapter Objectives

After successfully completing this chapter, you should be able to:

- Identify business functions, transactions, accounts affected, and documents & records in the acquisition and payment cycle
- Identify potential misstatements in acquisition and payment transactions
- Assess control risk and designing tests of controls & substantive tests of transactions for acquisitions and payments
- Design and perform tests of account balances affected by acquisition and payment cycle

ACCOUNTS AFFECTED IN THE ACQUISITION AND PAYMENT CYCLE

- | | |
|-----------------------------------|---|
| • Purchases | • Accounts payable |
| • Purchase returns and allowances | • Property, plant, and equipment |
| • Purchase discounts | • Prepaid expenses |
| • Cash in bank | • Manufacturing, administrative, selling expenses |
| • Inventory | |

CLASSES OF TRANSACTIONS IN THE ACQUISITION AND PAYMENT CYCLE

- Acquisition of goods and services
- Returns and allowance transactions
- Cash disbursements for those acquisitions

BUSINESS FUNCTIONS IN THE ACQUISITION AND PAYMENT CYCLE

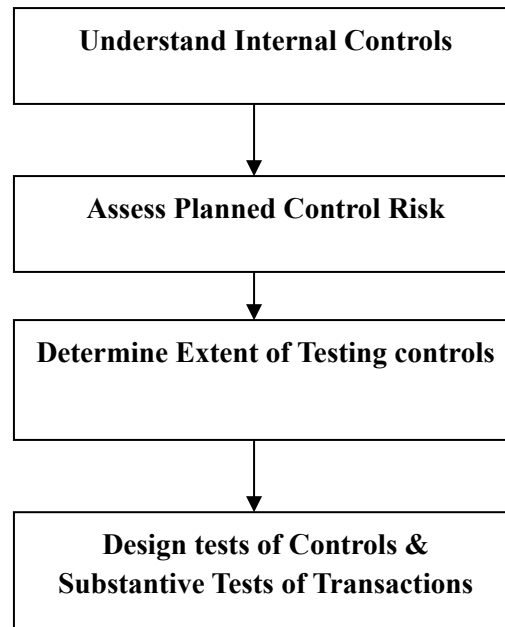
- An employee recognizes a need for a purchase; completes a requisition and sends it to purchasing. Purchasing department shops for the appropriate quality at the best price, then prepares a purchase order (**Processing purchase orders**)
- When goods arrive from the vendor, the receiving dept inspects, counts, and prepares a receiving report (**Receiving goods and services**)

- When the vendor's invoice arrives, accounts payable enters the amount in the acquisitions journal and the accounts payable master file (**Recognizing the liability**)
- Before the due date, a cheque is mailed to the vendor and the payment is recorded in the cash payments journal and accounts payable master file (**Processing and recording cash disbursements**)

DOCUMENTS AND RECORDS IN THE ACQUISITION AND PAYMENT CYCLE

- Purchase requisition,
- Purchase order,
- Receiving reports,
- Vendor's invoice,
- Debit memo, voucher,
- Acquisition transaction file,
- Acquisitions journal,
- As/P master file,
- As/P trial balance,
- Vendor's statement,
- Cheque/electronic payment,
- Cash disbursement transaction file,
- Cash disbursements journal

METHODOLOGY FOR DESIGNING TESTS OF CONTROLS AND SUBSTANTIVE TESTS OF TRANSACTIONS FOR ACQUISITION AND PAYMENT CYCLE



In assessing control risk, the auditor should consider key internal controls such as adequate segregation of duties, proper authorization, adequate documents and records, use of prenumbered documents, internal verification procedures etc. Besides, the auditor determines the extent of testing controls in terms of whether substantive tests will be reduced sufficiently to justify the cost of performing tests of controls.

DESIGNING TESTS OF CONTROLS AND SUBSTANTIVE TESTS OF TRANSACTIONS - ACQUISITIONS AND PAYMENTS

In designing audit tests for acquisition and payments, the auditor should consider the specific transaction-related audit objectives

(See the **attachment** containing the Summary of Transaction-Related Audit Objectives, Key Controls, Tests of Controls, and Substantive Tests of Transactions for *Acquisitions* and for *Cash Disbursements*)

However, before discussing the tests of controls and substantive tests of transactions for acquisitions and for cash disbursements, proper understanding the key controls covered in the next section is essential.

Key Internal Controls

1. Authorization of purchases

- Proper authorization for acquisitions ensures that the goods and services acquired are for authorized company purposes, and the acquisition of excessive or unnecessary items are avoided.
- Different levels of authorization for different types of acquisitions or birr/dollar amounts required.
- After the purchase requisition for an acquisition has been approved, a purchase order to acquire the goods or services must be initiated.
- Purchasing department is responsible to ensure an adequate quality of goods and services are acquired at a minimum price.
- The purchasing department should be separate from those who authorize the acquisition or receive the goods.
- All purchase orders should be prenumbered to permit easier accounting for all outstanding purchases orders and should be designed to minimize the likelihood of unintentional omissions on the form when goods are ordered.

2. Separation of the custody of the received goods from other functions

- The receiving department initiates a receiving report as evidence of the receipt and examination of goods.
- One copy is normally sent to the raw materials storeroom and another to the accounts payable department for their information needs.
- To prevent theft and misuse, the goods should be physically controlled from the time of their receipt until their use or disposal.
- The personnel in the receiving department should be independent of the storeroom personnel and the accounting department.
- The accounting records should transfer responsibility for the goods each time they are moved, from receiving to storage, from storage to manufacturing, etc.

3. Timely recording and independent review of transactions

- The accounts payable department has responsibility for verifying the appropriateness of acquisitions.
- Depending on the policy of the client, the recording of the liability for acquisitions is made on the basis of the receipt of goods and services or recording is deferred until the vendor's invoice is received.
- The accounts payable personnel compare the details on the purchase order, the receiving report, and the vendor's invoice to determine that the descriptions, prices, quantities, terms, and freight on the vendor's invoice are correct.
- The accounts payable department also verifies extensions, footings, and account distributions.

- The accounts payable department should also account for all receiving reports to assure that the completeness objective is satisfied.
- An important control in the accounts payable and information technology departments is the requirement that personnel who record acquisitions do not have access to cash, marketable securities, and other assets.
- Adequate documents and records, proper procedures for record keeping, and independent checks on performance are also necessary controls in the accounts payable function.

4. Authorization of payments to vendors

- The most important controls over cash disbursements include:
 - The signing of checks by an individual with proper authority
 - Separation of responsibilities for signing checks and performing the accounts payable function
 - Careful examination of supporting documents by the check signer at the time the check is signed
- The checks should be prenumbered to make it easier to account for all checks and printed on special paper that makes it difficult to alter the payee or amount. Companies
- Physical control over blank, voided, and signed checks is required.
- There must be a method of canceling supporting documents to prevent their reuse as support for another check at a later time. A common method is to document the check number on the supporting documents.

TEST OF DETAILS OF BALANCE FOR ACCOUNTS PAYABLE

In addition to testing controls and transactions for acquisitions and payments, it is necessary to audit accounts payable balance shown in the client's draft balance sheet. This involves performing analytical procedures and test of details of balances. The following analytical procedures may be performed for As/P:

Analytical procedures	Possible misstatement
Review list of Accounts payable for unusual, non-vendor, & interest-bearing payables	Classification misstatement for nontrade liabilities
Compare acquisition-related expense account balances with prior years	Misstatement of As/P & expenses
Compare individual As/P with previous years	Unrecorded or nonexistent accounts or misstatements
Calculate ratios (e.g. Average paying period, As/P to current liabilities ratio)	Unrecorded or nonexistent accounts or misstatements

What audit procedures should be performed by the auditor to test accounts payable balance? The following table shows the most common audit procedures for As/P balance:

<u>Balance-Related Audit Objectives and Tests of Details of Balances for Accounts Payable</u>
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Audit Objective	Audit Procedures
Detail tie-in	• Re-add the accounts payable list • Trace the total to the general ledger • Trace individual vendors' invoice to master file for names and amounts
Existence	• Trace from accounts payable list to vendors' invoices and statements • Confirmation with creditors, emphasize large & unusual amounts
Completeness	• Perform out-of-period liability tests (search for unrecorded liability) ♦ Examine the unpaid vendors' invoices file on the balance sheet date & trace them to related receiving report (to test for inclusion) ♦ Examine subsequent cash disbursements (to test for inclusion) ♦ Trace Receiving Reports Issued Before Year-End to Related Vendors' Invoices (to test for inclusion) ♦ Trace Vendors' Statements That Show a Balance Due to the Accounts Payable Trial Balance (to test for inclusion) ♦ Send Confirmations to Vendors with Which the Client Does Business (also called zero balance confirmation) <i>Because of the emphasis on understatements in liability accounts, out-of-period liability tests are important for accounts payable.</i>
Accuracy	• Trace from accounts payable list to vendors' invoices and statements • Confirmation with creditors, emphasize large & unusual amounts • Perform out-of-period liability tests
Classification	• Review the list and master file for related parties, interest-bearing debts, long-term payables, debit balances in accounts payable
Cutoff	• Perform out-of-period liability tests • Perform detailed tests as part of physical observation of inventory (i.e. coordinate the cutoff test with the observation of inventory) • Test for inventory in transits by examining vendor's invoice (consider shipping terms i.e. F.O.B. shipping point or F.O.B. Destination)
Obligations	• Examine vendors' statements • Confirmation with creditors

Vendors' Statement Reconciliation

The main thrust of the testing of accounts payable is usually to test for completeness i.e. to gain assurance that all liabilities which should be included, are included.

One of the audit procedures to be performed for testing accounts payable is to reconcile vendors' statements with creditors' ledger. Although the two must generally agree, the following are the possible reasons for the difference:

a. Timing differences

- Invoices not yet received by the client
- Payments not received by the vendor
- Returns and credit memos not yet appearing on the vendor's statement

b. Errors

- Supplier errors that will remain as part of the reconciliation of until the supplier corrects them
- Client errors, which the client needs to adjust

c. Administrative reasons

- ***Goods received accrual*** (invoices received but not processed-perhaps awaiting authorization or posting)
- ***Goods received not invoiced*** (the client accrues for all goods received but does not record in the journal and post to the creditors' ledger until the invoice is received)
- ***Cheques in the drawer*** (delay in sending out the cheques although not a good idea to keep signed cheques for longer time)

The auditor may use the following form to reconcile vendors' statements with creditors' ledger:

Balance per supplier statement	XXX	Balance per creditors' ledger	XXX
Less:		Add:	
Returns/credit memos not yet credited	XXX	Invoices not yet posted	XXX
Payments not yet received by the supplier	XXX	Goods received not invoiced	XXX
Reconciled balance	XXX	Reconciled balance	XXX

AUDIT OF PROPERTY, PLANT AND EQUIPMENT (PPE)

1. Characteristics of Property, Plant, and Equipment

- Have expected lives of more than one year

- Used in the business
- Not acquired for resale

2. Classification of Property, Plant, and Equipment

- Land and land improvements
- Buildings and buildings improvements
- Equipment
- Furniture and fixtures
- Autos and trucks
- Leasehold improvements
- Construction-in- progress

3. Property, Plant, and Equipment Accounts

- PPE account
- Accumulated depreciation
- Depreciation expense
- Gain/loss on disposal
- Repair and maintenance account

4. Property, Plant, and Equipment Transactions

- Acquisitions
- Disposals
- Periodic Depreciation

5. Property, Plant, and Equipment records

Fixed asset master file is the primary accounting record for Property, Plant, and Equipment. It shows detailed records for each asset containing such information as:

- Description of the asset
- Date of acquisition
- Original cost
- Current year depreciation
- Accumulated depreciation
- Disposals etc

The total for all records in the master file equals the general ledger balances for the related accounts i.e. PPE account, depreciation, and accumulated depreciation.

6. Audit Tests for Property, Plant, and Equipment

a. Perform analytical procedures

Most of the typical analytical procedures assess the likelihood of material misstatements in depreciation expense and accumulated depreciation as shown below:

Analytical procedure	Possible misstatement
Compare depreciation expense divided by gross fixed asset cost with previous years	Misstatement in depreciation expense and accumulated depreciation
Compare accumulated depreciation divided by gross fixed asset cost with previous years	Misstatement in accumulated depreciation
Compare monthly or annual repairs and maintenance, supplies expense, small tools expense, or similar accounts with previous years	Expensing amounts that should be capitalized
Compare gross manufacturing cost	Idle equipment or equipment that was

divided by some measure of production with previous years	disposed of but not written off
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b. Verify current period acquisitions

Current year acquisitions must be recorded correctly because failure to capitalize them or recording at incorrect amounts affects the balance sheet as well as the income statement until the asset is disposed of or fully depreciated (see the attachment)

c. Verify current period disposals

The most important internal control over disposals is the existence of a formal method to inform management and record the results of sale, trade-in, abandonment or theft. The most important audit procedures are those for searching for unrecorded disposals such as:

- Review whether newly acquired assets replace existing assets
- Analyze gains and losses on disposals
- Review plant modifications and changes in product line
- Review insurance coverage for indications of deletion of fixed assets
- Make inquiries of management for possible disposals

d. Verify the ending balance in the asset account

- Test for agreement between property (fixed assets) master file and general ledger
- Conduct physical inventory of fixed assets
- Test for presentation and disclosures (e.g. separately presenting each fixed asset; fixed assets collateralized for loans)

e. Verify depreciation expense

Recorded amounts of depreciation are internal allocations rather than exchange transactions with outside parties. Primary audit objectives involve determining whether the client is:

- Following a consistent depreciation policy from period to period and whether
- Making calculations accurately

f. Verify the ending balance in accumulated depreciation

Debits to accumulated depreciation account are normally tested as a part of the audit of the disposals of assets. Credits are verified as part of the audit of depreciation expense.

AUDIT TESTS FOR ACCRUALS

- Review relevant invoices when received after the balance sheet date. If none are received, compare with previous periods.
- Obtain the list of accruals from the client, recalculate it to confirm arithmetical accuracy.
- Agree the figure per schedule to the general ledger and financial statements
- Agree the calculation of the accruals by reference to supporting documentation e.g. previous period invoice

AUDITING INTANGIBLE ASSETS

Intangible assets include goodwill, copyrights, trademarks, deferred expenses, capitalized charges for brand names, and others. It may be extremely difficult to value as they do not have a ready value, and can rapidly drop in value. Audit expertise in the area is required, or the auditor may need to engage an independent expert to value material intangible assets.

AUDIT OF PREPAID EXPENSES

Prepaid expenses arise from the concept of matching expenses with revenues. These types of accounts are found in almost every audit. Prepaid insurance is used as an example because it is a common expense and the auditor is responsible for reviewing the adequacy of insurance coverage. Regarding audit of insurance expense, the auditor considers internal controls in the following categories: Controls over the acquisition and recording of insurance, insurance coverage, and charge-off of insurance expense. The organization may have an insurance register or spreadsheet, or it may simply have a file of insurance policies in force. Audit tests for insurance expense include:

- ♦ Analytical procedures
- ♦ Verification that charges to the insurance expense arose from credits to prepaid insurance (based upon a schedule of insurance charges and prepaid expenses prepared by the client)

AUDIT OF INCOME AND EXPENSES (OPERATIONS)

The purpose of audit of operations is to determine whether the income and expense accounts are fairly presented. The auditor needs to be aware of the importance of the income statement to users. Matching and consistent application of accounting principles are evaluated. This part of the audit is closely linked to the audit of all of the other transaction cycles. All tests conducted during the audit need to be considered to evaluate their impact upon the audit of

operations. Analytical review is an important audit step for the audit of operations. The most common analytical procedures are presented in the below table:

Analytical procedure	Possible misstatement
Compare individual expenses with previous years	Overstatement or understatement of a balance in an expense account
Compare individual asset and liability balances with previous years	Overstatement or understatement of a balance sheet account that would also affect an income statement account
Compare individual expenses with budgets	Misstatement of expenses and related balance sheet accounts
Compare gross margin percentage with previous years	Misstatement of cost of goods sold and inventory
Compare inventory turnover ratio with previous years	Misstatement of cost of goods sold and inventory
Compare prepaid insurance and insurance expense with previous years	Misstatement of insurance expense and prepaid insurance
Compare commission expense divided by sales with previous years	Misstatement of commission expense and accrued commissions
Compare individual manufacturing expenses divided by total manufacturing expenses with previous years	Misstatement of individual manufacturing expenses and related balance sheet accounts

Review Questions

1. What four basic business operations are executed in the acquisition and payment cycle?
2. Mention the two main classes of transactions in the acquisition and payment cycle.
3. Identify the appropriate records and documents in relation to the following functions:
 - a. Purchasing
 - b. Receiving
 - c. Recognizing the liability
 - d. Processing and recording cash disbursements
4. List one possible internal control for each of the six transaction-related audit objectives for cash disbursements. For each control, list a test of control to test its effectiveness.
5. List one possible control for each of the six transaction-related audit objectives for acquisitions. For each control, list a test of control to test its effectiveness.
6. What are the similarities and differences in the objectives of the following two procedures?
 - (1) Select a random sample of receiving reports and trace them to related vendors' invoices and acquisitions journal entries, comparing the vendor's name, type of material and

quantity acquired, and total amount of the acquisition. (2) Select a random sample of acquisitions journal entries and trace them to related vendors' invoices and receiving reports, comparing the vendor's name, type of material and quantity acquired, and total amount of the acquisition.

7. What is meant by a voucher? Explain how its use can improve an organization's internal controls.
8. How would you verify that all unpresented cheques (cheques not cleared the bank) are included on a client's bank reconciliation?
9. What is the relationship between the audit of property, plant, and equipment accounts and the audit of repair and maintenance accounts? Explain how the auditor organizes the audit to take this relationship into consideration.
10. In auditing depreciation expense, what major considerations should the auditor keep in mind? Explain how each can be verified.
11. Explain the conditions under which the external auditors rely on the work of others such as valuers, surveyors, internal auditors etc.
12. Assume that you are auditing the accounts payable of A Company and have found that the balance according to A Company's creditors' ledger does not agree to the statement from its supplier B Company. You extracted the following data in your attempt to search for the difference (all figures are in Birr):

Balance per A Company	700
Balance per B Company.....	3,000
Invoices in file of creditors' ledger clerk's desk awaiting posting	300

Goods returned by A Company to B Company in last week of the year, not yet reflected on B Company 400

Value of goods from B Company received by A Company's receiving department and invoiced by B Company on the very last day of the year (invoices are sent by mail) 100

Payment by cheque sent by mail by A Company to B Company on the very last day of the year 1,500

Required: *What is the correct figure for the balance between A Company and B Company that should form part of A company's payable figure in its financial statements?*

ADDIS ABABA UNIVERSITY
COLLEGE OF BUSINESS & ECONOMICS
DEPARTMENT OF ACCOUNTING & FINANCE
COURSE NAME: AUDITING PRINCIPLES & PRACTICES II
INSTRUCTOR: - TEWODROS HAILU

Illustration on Creditors' Reconciliation

NATIONWIDE CO.LTD.
CREDITORS LEDGER CARD FOR WHOLESALE SUPPLIES LTD.

Date	Description	Reference	Amount	Balance
30 Sep 2022	Balance forward			\$ 14,350.00
15 Oct 2022	Invoice	WS86554	8,346.44	22,696.44
26 Oct 2022	Invoice	WS86973	3,947.47	26,643.91
27 Oct 2022	Cheque	2665	-14,063.00	12,580.91
27 Oct 2022	Discount taken		-287.00	12,293.91

15 Nov 2022	Invoice	WS87124	6,437.80	18,731.71
26 Nov 2022	Invoice	WS87199	3,492.21	22,223.92
30 Nov 2022	Cheque	2738	-12,048.03	10,175.89
30 Nov 2022	Discount taken		-245.88	9,930.01
09 Dec 2022	Invoice	WS87395	16,322.68	26,252.69
28 Dec 2022	Invoice	WS87706	2,318.12	28,570.81
30 Dec 2022	Cheque	2841	-9,731.41	18,839.40
30 Dec 2022	Discount taken		-198.60	18,640.80

STATEMENT FROM WHOLESALE SUPPLIERS LIMITED
AMOUNT DUE BY NATIONWIDE CO. LTD AT 31 DECEMBER 2022

Reference	Debit	Credit	Date	Balance
Balance			30/09/2022	26,727.55
WS86554	8,346.44	0	2/10/2022	35,073.99
Payment	0	12,130.00	3/10/2022	22,943.99
Disc 1814	0	247.55	3/10/2022	22,696.44
WS86973	3,947.47	0	16/10/2022	26,643.91
Payment	0.00	14,063.00	29/10/2022	12,580.91
Disc 1827	0.00	287	29/10/2022	12,293.91
WS87124	6,437.80	0	6/11/2022	18,731.71
Disc 1831	0.00	47.33	6/11/2022	18,684.38
WS87199	3,942.21	0	15/11/2022	22,626.59
WS87395	16,322.68	0	5/12/2022	38,949.27

Payment	0.00	12,048.03	5/12/2022	26,901.24
WS87706	2,318.12	0	14/12/2022	29,219.36
WS88043	4,321.15	0	30/12/2022	33,540.51
Balance Due to Wholesale Suppliers				33,540.51

*Remember if you pay within 30 days of invoice date, we allow 2% discount.

Note to the student: For any differences in invoice balances and discount, assume that it is Nationwide who has made the mistake.

REQUIRED: *Establish/determine the balance owed by Nationwide to wholesale supplier's Limited at the beginning of January 2023.*